

STRATEGY EXECUTION AND KEY PARAMETERS

The BTST strategy involves buying an in-the-money call option, specifically selecting a call option two strikes in the money, based on the at-the-money price at 11:00 a.m. This strike price is determined by going two strikes above the current at-the-money level.

Source: www.nseindia.com/option-chain

CALLS							PUTS						
OI Chng	OI	Volume	ITM Prob.	IV	LTP	CHNG	STRIKE	CHNG	LTP	IV	ITM Prob.	Volume	OI
-4	1143	400	98.6	0	424	31.15	19150	-1.7	4.3	16.56	1.3	153849	4839
-52	5975	5081	97.4	0	374.3	30.45	19200	-2.3	5.1	15.48	2.5	290869	13394
-177	6048	3697	95.4	0	323.6	27.65	19250	-3.35	5.9	14.27	4.5	244811	10376
-6416	25908	54320	92.3	0	274.95	24.8	19300	-4.9	7.45	13.25	7.6	412325	20456
-188	11649	27366	87.8	0	227.35	23.4	19350	-6.85	9.85	12.31	12.1	334635	11815
-5289	63358	204034	81.8	8.5	182.55	21.35	19400	-9	14.2	11.6	18.1	625377	22472
-3844	39459	241819	74.3	8.64	139.05	18.5	19450	-11.85	21	10.97	25.6	494178	12371
9542	153847	1014435	65.4	8.67	100.1	14.25	19500	-15.7	32.15	10.53	34.5	1050065	27847
23923	116280	1142089	55.6	8.6	67	9.8	19550	-20.45	49	10.23	44.3	943626	14945
46239	195961	1429086	45.4	8.63	41.85	6.7	19600	-23.5	74	10.28	54.5	950157	13597

By selecting options that are already in-the-money, traders ensure a higher probability of profiting from any potential price increases.

Subsequently, the trader closely monitors the selected call option for signs of momentum.

If the call option exhibits a 20% upward move from the entry point, indicating a strong upward momentum, the trader enters a buying position. This approach allows the trader to participate in the market's bullish movement while limiting the downside risk associated with buying out-of-the-money options.

